2014-15 HSC TASK 1 EXAMINATION

Business Studies

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Student Number

Kirk

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Teacher Initials

Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.

Question 1 (6 marks)

(a) Outline how operations is interdependent with marketing. 2

Operations is interdependent with marketing as marketing relies on Ops to make a product that lives up to any claims made by marketing, while Ops relies on marketing as marketing provides forecasts in consumer tastes & seasonal tastes allowing Ops to reduce excess resources & waste. This means they both rely on each other making them interdependent

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(b) Distinguish between the inputs used in the production of a good compared to that of a service. Use examples to illustrate your answer. 4

The inputs in a goods production consist of transformed resources such as materials, info & customers which come together with using transforming resources (HR & facilities) to create a tangible good. Where as a service productions inputs consist of knowledge, degrees, skill, time. For example an Australia company inputs would be labour, wood, glue, skill, metal etc while a service such as a doctor would be a degree, knowledge, time, skill.

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Question 1 continues over the page.

Question 1 (continued)

this means that the output of the goods production is a tangible item that has been materials that value is added to. & the output of a service is intangible from previous inputs.

End of Question 1

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Question 2 (8 marks)

(a) Distinguish between transformed and transforming resources. 2

Transformed resources are resources that are changed in the transformation process such as materials, info & customers. e.g. wood, skill/knowledge & customer feedback in a furniture company. where as a transforming resource are resources that assist in the transformation although dont transform themselves such as Human resources and facilities e.g employees, machines & facilities.

(b) Outline how the influence of visibility would be different for a manufacturer of shoes compared to a sandwich shop that makes sandwiches in front of their customers. 2

Visibility effects a company as if the production is not visible to customers like the shoe manufacturer they can get away with more such as a high rate of defects, poor conditions, less quality materials etc & more waste output. while if the visibility is high such as a sandwich shop there is more of a focus on efficient skilled work, cleanliness, low waste, quality inputs & skilled workers. high visibility can cost more due to the conditions/inputs although promotes a good image while low visibility is often cheaper.

Question 2 continues on the next page.

Question 2 (continued)

(c) Explain why customer service and warranties are important to the operations process. 4

customer service & warranties are vital not only to customers (as it provides confidence) but also to operations as having a warranty & customer service/feedback protocol, allows for Operations to receive feedback on goods & services which allows them to monitor & take action to improve. Warranty claims allow the Operations function to see where they have gone wrong, if its one off it may be a Quality control fault but if they have a claims spike it allows Ops to see where in the process they have gone wrong and take corrective action to fix it

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End of Question 2

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Student Number

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Question 3 (12 marks)

(a) Define globalisation. **2**

Globalisation is the breaking down of barriers of trade between countries. An example of this may be ~~offshore outsourcing~~ global sourcing, which is the purchasing of ~~goo~~ inputs from overseas. This breaks down the barrier between two nations, and allows them to trade effectively. 2

(b) Outline how quality expectations could affect business operations. **2**

Quality expectations refers to how well the business meets and exceeds customer ~~expe~~ expectations. This affects the business operations as the quality of the product or service is largely dictated by the customer and reflected in the level of sales and the number of warranty returns the business has. This quality expectation is seen in Windsor chocolates as their quality can be measured by the 0.05 returns per 10,000 bars. This shows that they are meeting and exceeding the customers expectations 2

(c) Describe how environmental sustainability could impact TWO inputs used in the operations process. 4

Environmental sustainability refers to the business using resources today in a way that does not comprise the resources for future generations. The first input used which is impacted by environmental sustainability is the transforming resource of facilities. This relates to the plant and the machinery used. If the business is using heavy machinery and commuting a large number of greenhouse gases, the are exploiting the environment and are not being sustainable. This is seen in Windsor chocolates how recently purchased a new plant and machinery. The second is materials. If the materials used during the transformation proces are bad for the environment, then they are not being environmentally sustainable. This can impact in a way that shines a bad light on the business and can decrease sales and eventual profitability

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(d) Distinguish between legal compliance and ethical responsibility as it relates to operations management. Use examples to illustrate your answer. 4

Legal compliance refers to the business abiding by the laws of the law as it is mandatory. If the business is ethically responsible, the operations management encompasses a much broader view including the respect for people, the community/society and the environment. An example of this is the business Sharp. They were about to release a microwave which had passed all the reg legal regulations, however, they knew that there was a chance it could start a fire through a rare malfunction. The management acted ethically and fixed the problem. This cost the business extras ~~cost~~ on top of legal compliance costs aswell as time. Though they encompassed a broader view for the health and safety of people and the Community.

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End of Question 3

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TASK 1 EXAMINATION
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Student Number

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Question 4 (16 marks)

A television manufacturer has been experiencing problems with poor quality raw materials and delays in delivery times to customers. As a result their production has slowed, profits are down and customers are complaining.

(a) Outline TWO performance objectives that are being compromised. 2

Quality and speed are performance objectives being compromised. Quality is the standard of the good which is being compromised for the speed being the volume of units per unit of time which the television manufacturer can produce TV's. The quality of the TV is being compromised for the speed of delivery times to customers.

(b) Describe the importance of monitoring and controlling for this manufacturer. 4

Monitoring is measuring planned performance against actual performance. Monitoring is important to this manufacturer as they need to monitor the key performance indicators of quality and speed so they can measure their progress. These include the number of defects for quality and speed KPI would be the delivery times which have both suffered. Controlling is assessing key performance indicators and then taking corrective action. This is important for this manufacturer as they can assess their quality of materials problems and speed of delivery times problems then take

Question 4 (continued)

(c) Discuss the impact that outsourcing may have on this manufacturer's operations.

Outsourcing is the use of an external provider for non-core business ~~functions or~~ activities. The advantages of outsourcing include a decrease in costs as the outsourcing provider can provide the activity cheaper and better quality of that of the business. Furthermore the business has increased ~~access~~ access to skills and qualifications in that area. Moreover the business can focus on the core activities of the business. However the disadvantages of outsourcing include a loss of control of the business activity. Furthermore a loss of corporate memory and an inability to re-enter the activity back into the business. Moreover the possibility of privacy breaches due to the activity not being controlled by the business.

Question 4 continues on the next page

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Question 4 (continued)

(d) Explain how supply chain management and technology could be used to improve the operations process for this manufacturer. 6

Supply chain management involves managing and integrating the flow of supplies through inputs, transformation processes and outputs to satisfy the needs of customers. This manufacturer could improve the operations process by using global sourcing which involves sourcing raw and intermediate goods from overseas or using international services. As the quality of these TV's are poor they could take advantage of skilled labour and access to new technology and resources which would improve the quality of TV's and operations process for the manufacturer. The manufacturer could also fix their delays in delivery times to customers by using e commerce. E commerce involves the buying and selling of goods via the internet. The manufacturer could take advantage of browsers to customers, which would allow the customer to buy directly off the internet and have the TV delivered more rapidly. Technology would improve the operations process for this manufacturer as it enables operations to improve complete the transformation process efficiently and effectively. The manufacturer would take advantage of manufacturing technologies to improve upon these currently poor quality of TV's. These include robotics, computer aided designs and computer aided manufacturing which would result in low defects and consistently high quality.

End of Question 4